

plan. Premiums may be deducted up to \$3,100 per year (for 2012) in an individual plan and \$6,250 per year (for 2012) for a family plan. Those fifty-five or over can increase these limits by \$1,000. As long as these distributions are paying for qualified medical expenses, all growth and income on the amount contributed will be tax-free. Out-of-pocket qualified expenses for the year (not including payments for premiums) may not exceed \$6,050 for individual plans and \$12,100 for family plans. Any amount not spent during the tax year may be carried over to future tax years. Penalties for unqualified distributions from these plans are 20 percent of the amount of the distribution, and drugs are only considered qualified expenses if prescribed, except for insulin.

Patient Protection and Affordable Care Act

This legislation, signed into law on March 23, 2010, will require U.S. citizens to maintain qualifying health coverage or pay a penalty beginning in 2014. In 2014 the penalty will be equal to \$95 per family member (not to exceed three family members) or 1 percent of their taxable income, whichever is greater. The penalty then increases in 2016 to \$695 per family member or 2.5 percent of taxable income. After that the penalty will be increased annually by a cost of living adjustment. Certain exemptions will be granted for economic hardship, religious objections, etc.

In order to finance this government-sponsored program, certain tax increases will be implemented starting in 2013. Among these changes will be an increase to the Medicare portion of the payroll tax, which is to be levied on wages or self-employment income that exceeds \$200,000 (\$250,000 if married filing jointly). This means that the Medicare payroll tax rate of 1.45 percent will be increased to 2.35 percent for wages in excess of these threshold amounts.

There will also be a 3.8 percent tax increase on unearned income (interest, dividends, and capital gains, etc.) to the extent of the lesser of the total of the unearned income or the excess of taxpayer's adjusted gross income over the \$200,000/\$250,000 threshold amounts. This means that if the excess amount of the taxpayers AGI is less than their unearned income only the excess will be subject to the 3.8 percent tax.

For example, an individual taxpayer who has \$300,000 in wages and an AGI of \$5,000 of unearned income qualifying for the new tax will pay